NATIONAL UNIVERSITY OF SCIENCE AND TECHNOLOGY

DEPARTMENT OF ACCOUNTING

FIRST SEMESTER EXAMINATION: 2022/ 2023

TAXATION 1: CAC 4102

TIME ALLOWED: 3 HOURS

INSTRUCTIONS TO CANDIDATES

(i) Answer ALL FOUR questions

(ii) Begin the answer of each question on a fresh page

QUESTION	TOPIC	MARKS
1	Income Tax- Rental Property	25
2	Partnership	25
3	Capital Gains Tax -Roll-over	25
4	Administration 12 Tax avoidance 13	25

QUESTION 1 (25 Marks)

During the 2021 tax year Mr Knight purchased a block of flats on 1 November. The flats had been erected by the previous owner between February and September, 2021. The block contains 12 identical flats, all identically furnished. They are fully serviced and, except for the one occupied by Mr Knight, each earns a rental of US$1500 per month payable in advance. The following account is furnished for the period1November to 31 December:

Income and Expenditure Account

	$		$
Advertising	1000	Gross Rents received	46 500
Rates	1800	Net Loss	24 000
Electricity and water	4800		
Insurance	3000		
Wages	1800		
Legal expenses	11600		
Repairs	20 000		
Bond Repayments	7 000		
Bond Interest	6 000		
General Expenses	2 500		
Travelling Expenses	540		
Depreciation	10 460		
	70 500		70 500

The following further information is provided:

1. Gross rents include $15 000 received in advance under a year's lease. One tenant's December rent was not received until January
2. Advertising includes advertising for staff.
3. Insurance is fully allowable.
4. Wages relate to staff who service the flats.
5. Legal expenses comprise:

Conveyancing fee- Land and pool	$1 000	
Flats	$3 000	
Staff Housing	$1 500	5 500
Bond registration costs		500
New leases		200
Bond raising fee		5 000
Lease alterations		100
Fine- contravention of Municipal law		300
		11 600

6. Repairs include:

Sundry allowable expenses	1 400
Closure of existing exit in block of flats, construction of new exit	1 500
Replacement of broken burglar bars and bulbs	500
Cleaning materials	300
Tarring gravel driveway	2 600
New culverts at entrance to drive	400
Repainting of marked and stained parts of Mr Knight's flat on 1 November	200
Re-siting of plug sockets in flats	100
Erection of built-in-cupboards	3 000
Replacement of leaking tin roof of staff housing with tiled roof	10 000
	20 000

7. $500 000 was borrowed and used to purchase the property for $700 000
8. General expenses are all allowable.

REQUIRED: (25 Marks)

Prepare a Tax Computation for Mr Knight. He claims all statutory allowances

QUESTION 2 (25 Marks)

Mr Tomson and Mr Kaunda practice as quantity surveyors in Bulawayo. Mr Tomson joined the practice when he immigrated to Zimbabwe in July 2019. Mr Kaunda has practiced here for four years. Their Income Statement in support of tax returns for the year ended 31 December 2021 reflects a profit of US$335 000 (Mr Tomson 60 %, $201 000; Mr Kaunda 40 %, $134 000.) Other details from the accounts are as follows:

	$
Income:	
Fees accrued	925 000
POSB (Byo.) interest	1 150
Debenture interest	4 800
Dividend from Zimbabwe company	1 500
Deductions:	
Partners' salaries:	
Mr Tomson	72 000
Mr Kaunda	60 000
Insurance premiums:	
Loss of profit	4 500
Partnership joint life policy	9 120
Life policies for each partner's benefit	
Mr Tomson	3 000
Mr Kaunda	3 600
Medical aid contributions:	
Mr Tomson	720
Mr Kaunda	520
Staff	3 100
Annuity to widow of former employee	5 100
Interest on capital accounts:	
Mr Tomson	4 400
Mr Kaunda	4 200
Attendance at international quantity surveyor' institute -travelling, lectures etc). Certificates prescribed by the Act supplied by the Institute of Quantity Surveyors:	
MrTomson	6 500
Mr Kaunda	7 200
Depreciation	22 500

Further information:

(i) The partnership during the year purchased and used technical equipment which cost $60 000, SIA is claimed.

(ii) Mr Tomson borrowed funds to purchase his share in the partnership, and paid interest totalling $3 200.

(iii) Neither partner has income from any other source

REQUIRED: (25 marks)

Compute the taxable income of each partner

QUESTION 3 **(25 Marks)**

(a) Mr Gwebu bought a house in year 1, for US$40 000. He sold it in Year 3 for $60 000, with selling expenses totaling $3 000. He purchased a new residence in that year for $80 000. He elects to claim the allowance available in terms of Section 16 of the Capital Gains Tax Act.

REQUIRED:

Compute the Capital Gain on the sale (12 marks)

(b) In year 6 he sold the latter house for $100 000, with selling expenses totaling $5 000. He did not purchase another residence thereafter.

REQUIRED:

(i) Compute the Capital Gain assessable on the sale. (10 marks)

(ii) Give three characteristics that might qualify immovable property as a Principal Private Residence. (3 marks)

QUESTION 4(25 Marks)

(a) Differentiate between the prescriptions requirements of an additional assessment as contrasted with a reduced assessment. (2 marks)

(b) What are three requirements for each of : (6 marks)

A valid notice of objection

A valid notice of appeal

(c) How would the Commissioner deal with a situation where the price of goods charged by a Zimbabwean company for goods supplied to a subsidiary registered in another country was less than the fair market price? Discuss with reference to specific sections of the Act. (4 marks)

(c) An Egyptian company has started and made an initial investment in a pharmaceutical company in Zimbabwe through a US$10 Million equity investment. After assessing that prospects in the industry are bright, the company wishes to up its total investment to US$100 million. The directors are keen to make a tax-efficient investment primarily through maximizing the debt component in the capital structure. In view of the provisions of the Act with respect to thin capitalization {Section 16(1) (q)}, provide a computation that would demonstrate how the maximum interest deduction could be obtained. An interest rate of 10% per annum is contemplated (13 marks)

Work out the amount falling into Gross Income in each year, showing clearly the suspensive allowances granted under Section 17 of the Income Tax Act.